📄 My First Budget: Reading a Pay Stub & Planning Your Money

Career Readiness · Financial Literacy · Grade 9

Name: _____ Date: _____ Period: _____

When you get a job, your employer gives you a **pay stub** — a document that shows how much you earned and where your money went before it hit your pocket. Learning to read one is a real-life skill. Let's practice.

PART 1 — Read the Pay Stub

Below is a sample pay stub for a fictional employee. Read it carefully before answering the questions.

Riverside Community Services
152 Harbor Blvd, Plymouth, MA 02360

Employee: **Alex Rivera**
Pay Period: Oct 1 – Oct 31, 2025
Pay Date: Nov 1, 2025
Position: Office Assistant

💰 **EARNINGS**

Regular Hours (160 hrs × $14.25)	$2,280.00
Gross Pay	**$2,280.00**

✂️ **DEDUCTIONS**

Federal Income Tax	– $182.40
State Income Tax (MA)	– $114.00
Social Security (6.2%)	– $141.36
Medicare (1.45%)	– $33.06
Health Insurance Premium	– $9.18
Total Deductions	**– $480.00**

✅ **NET PAY (Take-Home Pay)** **$1,800.00**

1. What is Alex's *gross pay* for this month? What does "gross pay" mean in your own words?

_____

_____

2. What is Alex's *net pay*? Why is net pay different from gross pay?

_____

_____

3. Name two deductions taken from Alex's paycheck. For each one, explain what you think it pays for.

_____

_____

_____

4. Alex earned $2,280 but only took home $1,800. That means $480 went to deductions. What percentage of gross pay was taken out? (Hint: 480 ÷ 2280 × 100 = ?)

_____

PART 2 — Build Alex's Monthly Budget

Alex has **$1,800 net** to work with each month. Help Alex plan where that money should go by filling in the yellow cells. Some amounts are already filled in.

Category	Expense Item	Monthly Cost	Notes
🏠 **HOUSING**			
Housing	Rent (shared apartment)	$650.00	Split with one roommate
Housing	Electricity / Gas	$_____	Estimate $50–$80
Housing	Renters Insurance	$15.00	Protects your belongings
🚗 **TRANSPORTATION**			
Transportation	Bus Pass (GATRA)	$60.00	Monthly pass
Transportation	Rideshare / Uber (emergencies)	$_____	Estimate $20–$40
🍎 **FOOD**			
Food	Groceries	$_____	Estimate $150–$250
Food	Eating out / takeout	$_____	Your choice — be realistic!
📱 **PERSONAL & COMMUNICATION**			
Personal	Cell Phone Plan	$45.00	Basic prepaid plan
Personal	Clothing / Shoes	$_____	Estimate $30–$60/mo
Personal	Toiletries / Personal Care	$25.00	
🏥 **HEALTH**			
Health	Co-pays / Prescriptions	$_____	Estimate $0–$30
💡 **SAVINGS & EMERGENCY**			
Savings	Emergency Fund	$_____	Aim for at least $50–$100/mo
🎮 **ENTERTAINMENT / WANTS**			
Entertainment	Streaming / Music	$_____	Netflix, Spotify, etc.
Entertainment	Going out / hobbies	$_____	Your choice
📊 **TOTAL EXPENSES**		**$_____**	**Add up all your expenses**
💵 MONEY LEFT OVER (Net Pay – Total Expenses)		$_____	Positive = surplus. Negative = problem!

PART 3 — Needs vs. Wants

A **need** is something essential to survive and function (housing, food, transportation to work). A **want** is something that improves your life but isn't essential. Sort the expenses below — check the correct box for each one, then add one of your own.

✅ NEEDS

- ☐ Rent
- ☐ Groceries
- ☐ Bus Pass
- ☐ Cell Phone
- ☐ Health Insurance
- ☐ Streaming Service

🛍️ WANTS

- ☐ Rent
- ☐ Groceries
- ☐ Bus Pass
- ☐ Cell Phone
- ☐ Health Insurance
- ☐ Streaming Service

- [ ] Eating Out
- [ ] Savings

Add one more NEED:

_____

- [ ] Eating Out
- [ ] Savings

Add one more WANT:

_____

PART 4 — Reflect

5. After building Alex's budget, was there money left over or a deficit? What would you change, and why?

_____

_____

6. Imagine Alex gets a $200 bonus one month. Is that extra money a *need* or a *want*? What would be the smartest thing to do with it?

_____

_____

7. What surprised you most about this budget? Is $1,800/month easy or hard to live on in Massachusetts? Explain.

_____

_____

_____